Disagreement Under Deflation

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Articles About Inflation Forecast and Disagreement among Agents

Mankiw, Reis (2001) …. Sticky Information

- Mankiw, Reis and Wolfers (2003)
  - Effects of Macroeconomic state variables (inflation level /volatility) affects disagreement
- Badarinza and Bunchman(2009)
- Lamla and Maag (2009)
  - Effect of news on disagreement-media helps households to <u>form consensus</u>

However….

- These studies are on EU and US –inflation economies.

>>>>What happens in a deflation economy?

Possible differences:

- The effects of inflation and deflation may be different.
  - Deflation seems to favor household (in short run)
- Household may react differently to news of inflation after long deflation

>>>>Analysis on Japan may be interesting

- Separate news about Inflation and those about deflation to make comparison possible

- Moreover, new technique are employed to overcome data non-availability (explained later).

Estimation Strategy :Primary Model

$$d_t = \beta_0 + \beta_1 d_{t-1} + \beta_2 \pi_{t-1} + \beta_3 \pi_{t-1}^2 + \beta_4 v_{t-1}$$

Disagreement (Inter-quatile range)

Inflation rate

Inflation volatility measures

$$+ \beta_5 N_{t-1}^i + \beta_6 N_{t-1}^d + \varepsilon_t$$

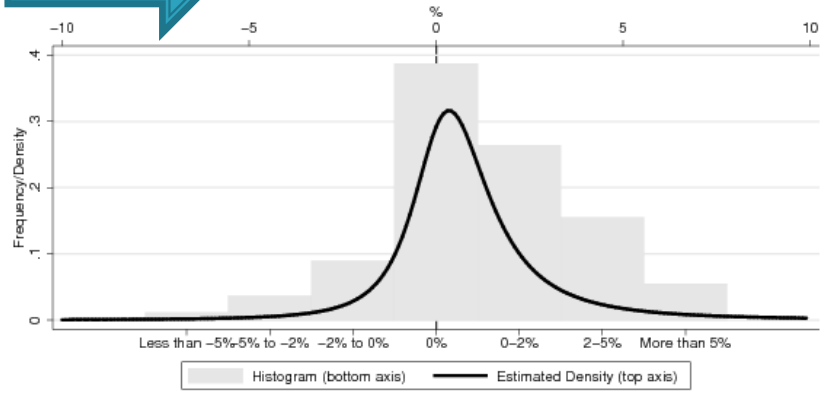
News about Inflation

News about Deflation

However, there are some problems in estimating this model….

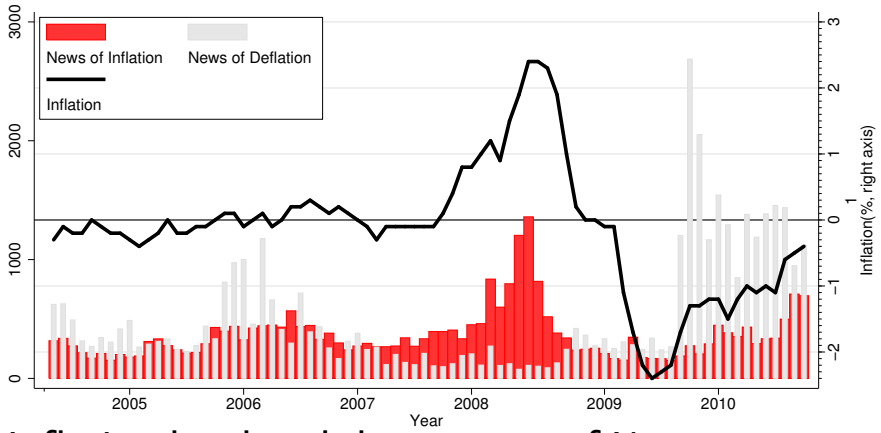
Problem 1: Households' forecast data is provided as histogram

Estimation of distribution, using a new technique

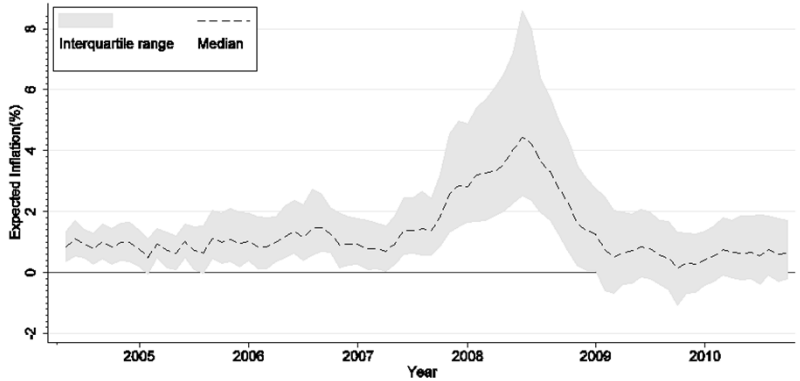


Preceding Papers … Assuming normal distribution
My paper… skew-allowed method (skew-t distribution)

Problem 2: Non-stationary process



Inflation level and the amount of News



Household forecast and disagreement

In addition to primary models, "Difference to difference" models are also estimated

Estimation Results and interpretation

- Primary Models

1. Lagged dependent is "too significant"
2. Effect of macroeconomic state does not seem to be robust
3. News about Inflation has significantly positive effect only on Household disagreement

- Difference-to-difference Models

1. Effect of macroeconomic state does not seem robust
2. News about Inflation has significantly positive effect only on Household disagreement.

News of Inflation increases household disagreement

- Further Problem

(Possible)Endogeneity of the News variables
– what could be the instrumental variable ?